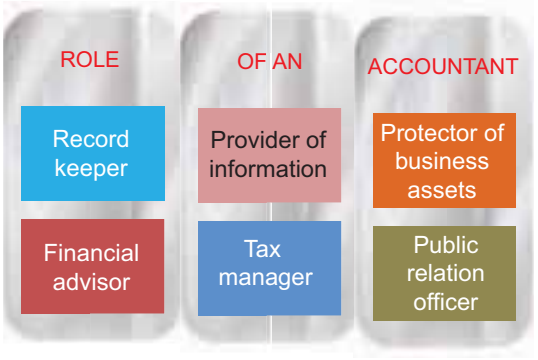
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1.12 Role of an accountant



An accountant designs the accounting procedures for an enterprise. He plays several roles in an organisation as follows:

(i) Record keeper

The accountant maintains a systematic record of financial transactions. He also prepares the financial statements and other financial reports.

(ii) Provider of information to the management

The accountant assists the management by providing financial information required for decision making and for exercising control.

(iii) Protector of business assets

The accountant maintains records of assets owned by the business which enables the management to protect and exercise control over these assets. He advises the management about insurance of various assets and the maintenance of the same.

(iv) Financial advisor

The accountant analyses financial information and advises the business managers regarding investment opportunities, strategies for cost savings, capital budgeting, provision for future growth and development, expansion of enterprise, etc.

(v) Tax manager

The accountant ensures that tax returns are prepared and filed correctly on time and payment of tax is made on time. The accountant can advise the managers regarding tax management, reducing tax burden, availing tax exemptions, etc.

(vi) Public relation officer

The accountant provides accounting information to various interested users for analysis as per their requirements.

Points to remember

- Accounting is termed as the language of the business.
- There are various branches of accounting such as financial accounting, cost accounting, management accounting, social responsibility accounting and human resource accounting.
- There are three bases of accounting namely cash basis, accrual or mercantile basis and mixed or hybrid basis.